Kotak Mahindra Bank Ltd

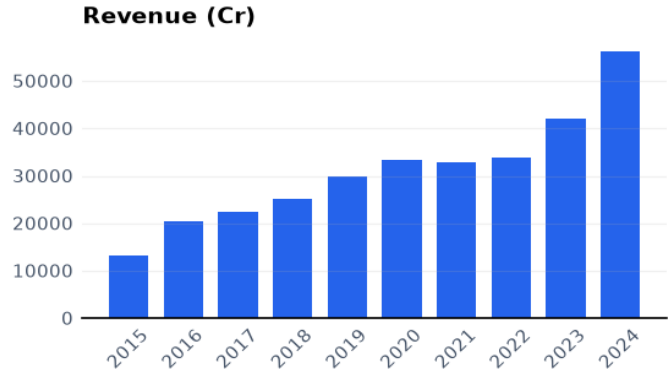
KOTAKBANK

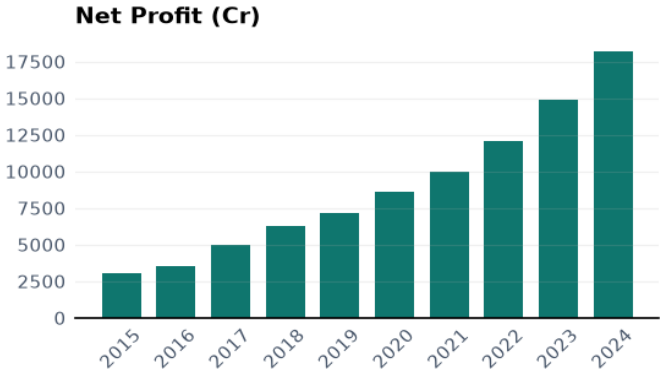
Financials

Company Tearsheet

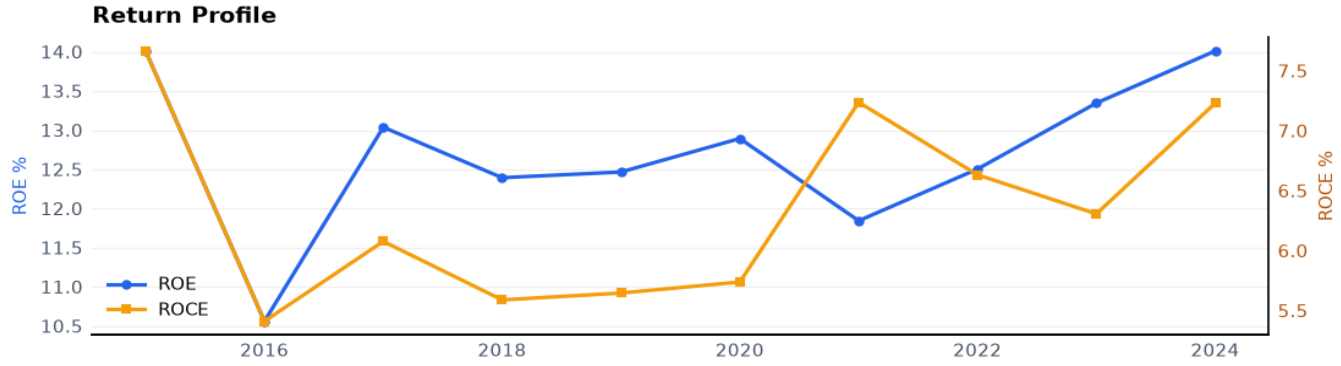
13.5% Revenue CAGR (5Y)	**20.4%** PAT CAGR (5Y)	**14.0%** ROE
7.2% ROCE	**4.00x** Debt / Equity	**1.48x** CFO Quality

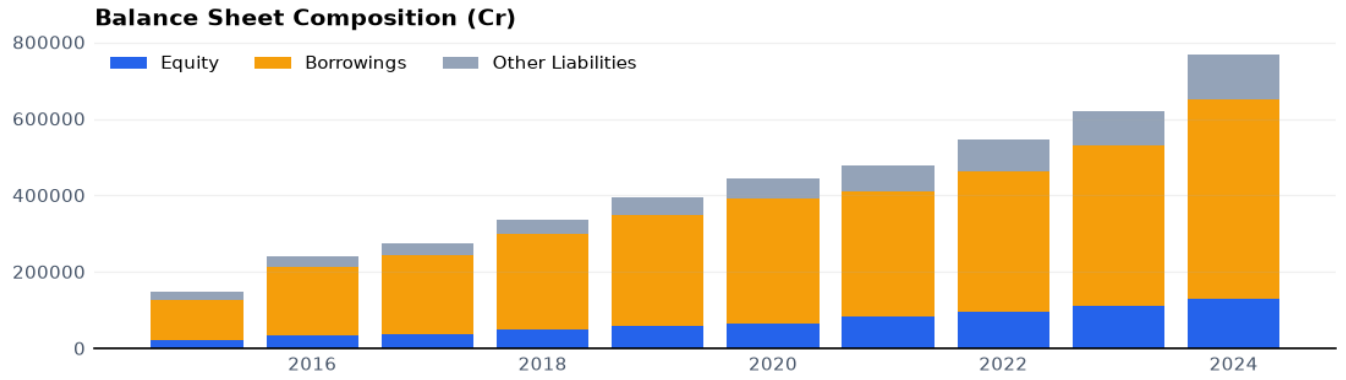
10-Year Financial Performance

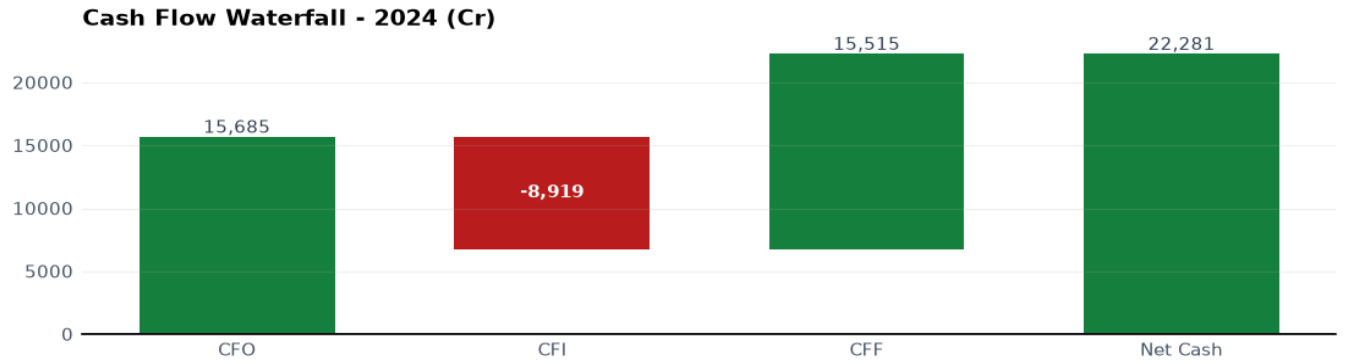




Returns and Capital Efficiency







PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

CONS

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION	Mixed